ACQUISITION OF INTANGIBLE ASSETS

Learning Outcome

- compare the financial reporting of the following types of intangible assets: purchased, internally developed, and acquired in a business combination

Intangible assets are non-monetary assets lacking physical substance. Intangible assets include items that involve exclusive rights, such as patents, copyrights, trademarks, and franchises. Under IFRS, identifiable intangible assets must meet three definitional criteria. They must be (1) identifiable (either capable of being separated from the entity or arising from contractual or legal rights), (2) under the control of the company, and (3) expected to generate future economic benefits. In addition, two recognition criteria must be met: (1) It is probable that the expected future economic benefits of the asset will flow to the company, and (2) the cost of the asset can be reliably measured. Goodwill, which is not considered an identifiable intangible asset,[1] arises when one company purchases another and the acquisition price exceeds the fair value of the net identifiable assets (both the tangible assets and the identifiable intangible assets, minus liabilities) acquired.

Accounting for an intangible asset depends on how it is acquired. The following sections describe accounting for intangible assets obtained in three ways: purchased in situations other than business combinations, developed internally, and acquired in business combinations.

Intangible Assets Purchased in Situations Other Than Business Combinations

Intangible assets purchased in situations other than business combinations, such as buying a patent, are treated at acquisition the same as long-lived tangible assets; they are recorded at their fair value when acquired, which is assumed to be equivalent to the purchase price. If several intangible assets are acquired as part of a group, the purchase price is allocated to each asset on the basis of its fair value.

In deciding how to treat individual intangible assets for analytical purposes, analysts are particularly aware that companies must use a substantial amount of judgment and numerous assumptions to determine the fair value of individual intangible assets. For analysis, therefore, understanding the types of intangible assets acquired can often be more useful than focusing on the values assigned to the individual assets. In other words, an analyst would typically be more interested in understanding what assets a company acquired (e.g., franchise rights) than in the precise portion of the purchase price a company allocated to each asset. Understanding the types of assets a company acquires can offer insights into the company's strategic direction and future operating potential.

Intangible Assets Developed Internally

In contrast with the treatment of construction costs of tangible assets, the costs to internally develop intangible assets are generally expensed when incurred. In some situations, however, the costs incurred to internally develop an intangible asset are capitalized. The general analytical issues related to the capitalizing-versus-expensing decision apply here—namely, comparability across companies and the effect on an individual company's trend analysis.

The general requirement that costs to internally develop intangible assets be expensed should be compared with capitalizing the cost of acquiring intangible assets in situations other than business combinations. Because costs associated with internally developing intangible assets are usually expensed, a company that has internally developed intangible assets, such as patents, copyrights, or brands through expenditures on R&D or

whereas costs of acquiring intangible assets are classified as investing cash outflows. Differences in strategy (developing versus acquiring intangible assets) can thus impact financial ratios.

IFRS requires that expenditures on research (or during the research phase of an internal project) be expensed rather than capitalized as an intangible asset.[2] Research is defined as "original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding."[3] The "research phase of an internal project" refers to the period during which a company cannot demonstrate that an intangible asset is being created—for example, the search for alternative materials or systems to use in a production process. In contrast with the treatment of research-phase expenditures, IFRS allow companies to recognize an intangible asset arising from development expenditures (or the development phase of an internal project) if certain criteria are met, including a demonstration of the technical feasibility of completing the intangible asset and the intent to use or sell the asset. Development is defined as "the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use."[4]

Generally, US GAAP requires that both research and development costs be expensed as incurred but require capitalization of certain costs related to software development.[5] Costs incurred to develop a software product for sale are expensed until the product's technological feasibility is established and are capitalized thereafter. Similarly, companies expense costs related to the development of software for internal use until it is probable that the project will be completed and that the software will be used as intended. Thereafter, development costs are capitalized. The probability that the project will be completed is easier to demonstrate than is technological feasibility. The capitalized costs, related directly to developing software for sale or internal use, include the costs of employees who help build and test the software. The treatment of software development costs under US GAAP is similar to the treatment of all costs of internally developed intangible assets under IFRS.

EXAMPLE 1

Software Development Costs

REH AG, a fictional company that reports under IFRS, incurs expenditures of EUR1,000 per month during the fiscal year ended 31 December 2019 to develop software for internal use.

1. What is the accounting impact of the company being able to demonstrate that the software met the criteria for recognition as an intangible asset on 1 February versus 1 December?

   Hide Solution

   Solution:

   If the company is able to demonstrate that the software met the criteria for recognition as an intangible asset on 1 February, the company would recognize the EUR1,000 expended in January as an expense on the income statement for the fiscal year ended 31 December 2019. The other EUR11,000 of expenditures would be recognized as an intangible asset (on the balance sheet). Alternatively, if the company is not able to demonstrate that the software met the criteria for recognition as an intangible asset until 1 December, the company would recognize the EUR11,000 expensed in January through November as an expense on the income statement for the

GAAP and it had established in 2018 that the project was likely to be completed and the software used to perform the function intended?

Hide Solution

Solution:

Under US GAAP, the company would capitalize the entire EUR12,000 spent to develop software for internal use.

Intangible Assets Acquired in a Business Combination

When one company acquires another company, the transaction is accounted for using the acquisition method of accounting.[6] Under the acquisition method, the company identified as the acquirer allocates the purchase price to each asset acquired (and each liability assumed) on the basis of its fair value. If the purchase price exceeds the sum of the amounts that can be allocated to individual identifiable assets and liabilities, the excess is recorded as goodwill. Goodwill cannot be identified separately from the business as a whole.

Under IFRS, the acquired individual assets include identifiable intangible assets that meet the definitional and recognition criteria.[7] Otherwise, if the item is acquired in a business combination and cannot be recognized as a tangible or identifiable intangible asset, it is recognized as goodwill. Under US GAAP, there are two criteria to judge whether an intangible asset acquired in a business combination should be recognized separately from goodwill: The asset must be either an item arising from contractual or legal rights or an item that can be separated from the acquired company. Examples of intangible assets treated separately from goodwill include the intangible assets previously mentioned that involve exclusive rights (patents, copyrights, franchises, licenses), as well as such items as internet domain names and video and audiovisual materials.

Exhibit 1 describes how AB InBev allocated the USD103 billion purchase consideration in its 2016 acquisition of SABMiller Group. The combined company was renamed Anheuser-Busch InBev SA/NV. The majority of the intangible asset valuation relates to brands with indefinite life (USD19.9 billion of the USD20.0 billion total). Of USD63.0 billion total assets acquired, assets to be divested were valued at USD24.8 billion and assets to be held for were valued at USD38.2 billion. In total, intangible assets represent 52 percent of the total assets to be held for use. In addition, USD74.1 billion of goodwill was recognized in the transaction.

Exhibit 1:

Acquisition of Intangible Assets through a Business Combination

Excerpt from the 2016 Annual Report of AB InBev:

"On 10 October 2016, AB InBev announced the … successful completion of the business combination with the former SABMiller Group ("SAB").

"The transaction resulted in 74.1 billion US dollar of goodwill provisionally allocated primarily to the businesses in Colombia, Ecuador, Peru, Australia, South Africa and other African, Asia Pacific and Latin American countries. The factors that contributed to the recognition of goodwill include the acquisition of an assembled workforce and the premiums paid for cost synergies expected to be achieved in SABMiller. Management's assessment of the future economic benefits supporting recognition of this goodwill is in part based on expected savings through the implementation of AB

recognition of deferred tax liabilities in relation to the preliminary fair value adjustments on acquired intangible assets for which the amortization does not qualify as a tax deductible expense. None of the goodwill recognized is deductible for tax purposes.

"The majority of the intangible asset valuation relates to brands with indefinite life, valued for a total amount of 19.9 billion US dollar. The valuation of the brands with indefinite life is based on a series of factors, including the brand history, the operating plan and the countries in which the brands are sold. The fair value of brands was estimated by applying a combination of known valuation methodologies, such as the royalty relief and excess earnings valuation approaches.

"The intangibles with an indefinite life mainly include the Castle and Carling brand families in Africa, the Aguila and Poker brand families in Colombia, the Cristal and Pilsner brand families in Ecuador, and the Carlton brand family in Australia.

"Assets held for sale were recognized in relation to the divestiture of SABMiller's interests in the MillerCoors LLC joint venture and certain of SABMiller's portfolio of Miller brands outside of the US to Molson Coors Brewing company; the divestiture of SABMiller's European premium brands to Asahi Group Holdings, Ltd and the divestiture of SABMiller's interest in China Resources Snow Breweries Ltd. to China Resources Beer (Holdings) Co. Ltd."

The following is a summary of the provisional allocation of AB InBev's purchase price of SABMiller:

Assets	USD million
Property, plant and equipment	9,060
Intangible assets	20,040
Investment in associates	4,386
Inventories	977
Trade and other receivables	1,257
Cash and cash equivalents	1,410
Assets held for sale	24,805
All other assets	*1,087*
Total assets	*63,022*
Total liabilities	*–27,769*
Net identified assets and liabilities	**35,253**
Non-controlling interests	–6,200
Goodwill on acquisition	**74,083**
Purchase consideration	**103,136**

Table is excerpted from the company's 2016 Annual Report. Portions of detail are omitted, and subtotals are shown in italics.

Source: AB InBev 2016 Annual Report, 82–85.

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HY is example 1 contradicting to the intangible assets chapter on balnce sheet analysis as it said there that most of the R&D cost under GAAP are expensed but not capitalized?

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